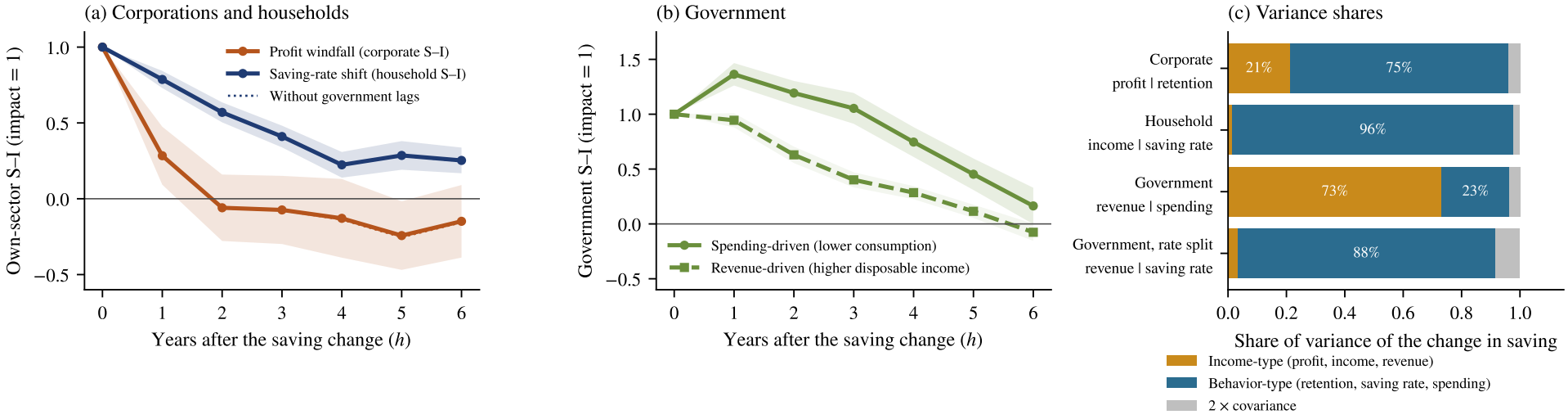
## Three domestic sectors




Notes: N = 865, 38 economies. (a) Each sector's balance on its two components, with two lags of the sector's balance (levels), both components, GDP growth and the two government components, and country and year fixed effects; dotted lines omit the government lags. (b) Government balance on the change in its disposable income and the negative change in its final consumption, with the same structure of controls. 68 percent bands, country-cluster delta method. (c) Variance of each component relative to the variance of their sum; the covariance term can be negative. 'Saving-rate split' applies the household-style decomposition to government saving, whose saving rate is negative in deficit years.